

ORIGINAL

BEFORE THE
FEDERAL MARITIME COMMISSION

cc:
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TOYOTA DE PUERTO RICO CORP.,

Complainant,

v.

**PUERTO RICO PORTS AUTHORITY,
CROWLEY PUERTO RICO SERVICES
INC., and OCEANIC GENERAL AGENCY
INC.,**

Respondent.

Docket No. 19-02

**SECTION 11 OF THE SHIPPING
ACT OF 1984**

FILED

APR 23 2019

**Federal Maritime Commission
Office of the Secretary**

**REPLY TO THE OPPOSITION TO THE PUERTO RICO
PORTS AUTHORITY'S MOTION TO DISMISS**

**TO MS. RACHEL E. DICKON
SECRETARY, FEDERAL MARITIME COMMISSION**

COMES NOW respondent **Puerto Rico Ports Authority** (hereinafter the "PRPA"), through its undersigned counsel, and respectfully states and requests as follows:

Pursuant to Federal Maritime Commission Rule of Practice and Procedure 70 (46 C.F.R. § 502.70)("FMC Rule"), PRPA very respectfully files its Reply to Toyota de Puerto Rico ("Toyota") Opposition to the Puerto Rico Ports Authorities Motion to Dismiss ("Opposition").

I. Introduction

Toyota's Opposition addresses all four (4) of PRPA's arguments on dismissal. Considering Toyota's Opposition, the following remains uncontested: (i) that the cargo scanning program implemented by PRPA to inspect cargo arriving at the Port of San Juan entails a governmental function and is legislatively mandated by Act 12-2008, known as the Law to Establish the Public Policy in the Area of the Puerto Rico Ports ("Act 12-2008"). 23 P.R. Laws Ann. §§ 3 *et seq.*

Further, (ii) PRPA established the Enhanced Security Fee (“ESF”) to recover the costs incurred in providing, repairing and maintaining that scanning system. *See De Mercadeo v. Vázquez*, No. Civ. 11-1978 BJM, 2013 WL 5652076 at 3 (D.P.R. Oct. 16, 2013), *aff’d sub nom Industria y Distribución de Alimentos v. Trailer Bridge*, 797 F.3d 141, 144 (1st Cir. 2015). That (iii) the ESF is paid for a legitimate services which is relevant to the operation of the San Juan Port. *Industria y Distribución de Alimentos v. Trailer Bridge*, 797 F.3d at 147-48. Lastly, (iv) PRPA does not charge Toyota the ESF.

Considering the aforementioned uncontested facts, PRPA stands by its arguments contained in its Motion to Dismiss, and addresses Toyota’s statute of limitations and sovereign immunity arguments for purposes of expanding upon the same in Reply. Please note that PRPA’s “standing” and “sovereign immunity” arguments are currently pending before the U.S. Court of Appeals for the First Circuit, in *Dantzler, Inc., et. al., v. PRPA*, 18-2089.

II. Arguments in Reply and in Support of Dismissal

(A) PRPA has been required to provide a Governmental security service

Toyota basically cites to three (3) cases in support of its argument that PRPA is not entitled to sovereign immunity. However, besides citing case law stands clear of addressing the actual facts and role which PRPA has been required to assume via a legislative mandate, *to wit*, Act 12-2008.

Said Act’s mandate results from the aftermath of the September 11, 2001 terrorist attacks and Congressional legislation. See the Maritime Transportations Security Act, 46 U.S.C. §§ 70101 *et seq.*, and the 2006 Security and Accountability for Every Port Act (“SAFE Port Act”), 6 U.S.C. §§ 901 *et seq.* Act 12-2008’s first goal was to require the same levels of enhanced security required by those Federal Acts at PRPA’s port of San Juan. Thus, the Commonwealth of Puerto Rico chose to use PRPA to comply with these Congressional mandates. That speaks volumes.

And, Act 12-2008 unmistakably treats PRPA as an arm by expressly delegating to it national security matters. Act 12-2008 could have simply ordered PRPA to make space available for another Governmental instrumentality to run the scanning program. Instead, it chose and required PRPA to lead the program, imposing immense responsibilities upon it and consequently investing it with sovereign immunity.

Basically, after the September 11, 2001 terrorist attacks port security changed, as did PRPA's role. Thus, the *Grajales* Court's suggesting, or inquiry for another day, relate to whether a hybrid entity like PRPA, which performs some governmental functions and other proprietary functions, could be an arm for purposes of legal actions that targeted its governmental functions. See *Grajales v. Puerto Rico Port Authority*, 831 F.3d 11, 20 fn. 9 (1st Cir. 2016). See also *Regents of the University of California v. Doe*, 519 U.S. 425 (1997)(where the US Supreme Court reserved the question of whether state instrumentalities could "qualify as 'arms of the state' for some purposes but not others").

B. Time Barred Claims

Toyota argues that its claims are not time barred because they were basically caused by a continuing violation. However, if Toyota suffered any damages at all, it knew it from the first moment it paid the ESF, and/or at least since the District of Puerto Rico issued in the case of *Mercadeo v. Vázquez*, *Supra*. Further, as mentioned in PRPA's first appearance in this case, these and/or similar issues are being litigated in cases been before the United States District Court of Puerto Rico, United States Court of Appeals for the First Circuit and even the Puerto Rico Supreme Court. PRPA's point is that the fact and allegations contained in the Verified Complaint were not newly learned.

That said, please note that in *China Agritech, Inc., v. Resh*, 138 S.Ct. 1800, 201 L. Ed. 2d 123 (June 2018), the U.S. Supreme Court recently held that a plaintiff who waits out the statute of limitations cannot then piggyback on an earlier, timely filed class action. *Id* at 131. In sum, Toyota should have known that it may have had a claim, if any, but chose not to redress the same until the eleventh hour.

WHEREFORE, PRPA very respectfully requests that the Commission dismiss the present case in its entirety, for the reasons set forth above.

Certificate of Service: I hereby certify that on this same date the foregoing notice was served upon the following attorneys and participants of record: (a) counsel for **Toyota de Puerto Rico Corp.** - Rafael Escalera Rodriguez, Esq. (escalera@reichardescalera.com), Sylvia M. Arizmendi, Esq. (arizmendis@reichardescalera.com), Alan M. Vizcarrondo Santana, Esq. (vizcarrondo@reichardescalera.com), Zarel J. Soto Acaba, Esq. (zsoto@reichardescalera.com); (b) counsel for **Crowley Puerto Rico Services, Inc.** – Marc J. Fink, Esq. (mfink@cozen.com), Wayne R. Rohde, Esq. (wrohde@cozen.com) and Matthew Howell, Esq. (mhowell@cozen.com); and (c) counsel for **Oceanic General Agency Inc.** – Henry P. Gonzalez (gonzalez@gdvlegal.com) and Jose E. Alfaro Delgado (josealfaro@yahoo.com).

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, this 23rd day of April, 2019.

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